

The States' Crisis

The First Great Depression had a profound effect on the structure of government in the United States, and above all, on state government. This may seem odd to a modern reader. Today, when we think about problems that have an international aspect—such as the management of a crisis within the North Atlantic economy—our impulse would be to assume that they would fall within the sphere of federal responsibilities. To understand the crisis of 1836–1848 we must put this preconception aside. At that time—indeed, for most of American history until the Great Depression of the 1930s—the responsibilities and apparatus of federal government were small relative to those of the states. Moreover, it was the actions of state governments, rather than the federal government, that caused a rapid deterioration in relations with the United Kingdom.

The problem was straightforward. In the 1830s, many American states borrowed heavily from British investors to finance canals, railroads, banks, and other projects. The states could not repay these loans when the economy collapsed unless they established new taxes, which they refused to do. And so many states defaulted. Outraged British investors, lacking any effective remedy in American courts, hurled angry rhetoric instead, and sent lobbyists to state capitals to campaign for repayment of their loans. Tempers rose on both sides of the Atlantic. And state governments were faced with a choice: should they levy new taxes or simply repudiate their debts?

Here was a direct collision between the ideal of political sovereignty and the expectations of the international financial markets. The 1820s and 1830s were a period in which voting rights were expanded significantly, and self-rule was glorified. State governments, responding to these political changes, adopted popular but ill-considered programs for economic development. And now they were being called to account by angry lenders. The question was whether legislators and voters were prepared, as a matter of honor or self-interest, to accept restrictions on their recently won political liberties.

The struggle within state capitals illustrates several of the major themes of this book. It shows how quickly an economic crisis is transformed into a political and social crisis, in which established political alliances are wrenched apart and matters of economic interest are tinged with questions of honor and national pride. It also shows how, in an open economy, domestic and international politics become thoroughly entangled. Indeed, the federal government was almost a bystander in the debate over state debts, one of the hottest issues affecting U.S. international relations during the First Great Depression. And as many American and British observers said at the time, the struggle within state capitals raised a basic question about the balance of liberty and order. Would American states insist on their political autonomy, or bow to the demands of international financial markets? This debate had an effect on the architecture of state governments that is still evident today—a lasting reminder of a time when the United States held a smaller and more vulnerable place in the global economic order.

• Defaulting on State Debts

We must repudiate all the bonds. All morality does not consist in keeping faith in dollars and cents.

—*Democratic Expounder* (Marshall, Michigan),
November 17, 1841

An important consequence of the economic crisis was the complete destruction of the credibility of American state governments in international financial markets. In the few years before the Panic of 1837, state governments borrowed an extraordinary amount of money from investors in Europe. In the span of eighteen months, between July 1841 and December 1842, many defaulted on their loans, and some repudiated their obligations entirely.

To understand why state governments were borrowing so much, it is necessary to challenge the widely held idea that American governments have always hewed to the doctrine of laissez-faire and taken a very restrictive view of their role in guiding economic development. This was not true of state governments before the economic crisis of 1836–1848. In fact, it was the crisis itself that caused state governments to repudiate an activist role.

Before the crisis, there were two ways in which state governments were engaged in economic development. The first was through the construction of internal improvements, or what today we call transportation infrastructure. State governments financed and built roads, canals, and railroads which they considered to be essential to settlement and trade. The second mode of state action, particularly in the South and West, was through state-supported or state-owned banks. Operating with capital that was partly or entirely provided by state government, these banks provided credit to facilitate commerce and support expansion by farmers and plantation owners.

Federal policy—or more precisely, confusion in federal policy—encouraged state action. The federal government had a lukewarm attitude toward support of internal improvements, particularly under Democratic presidencies, primarily because such actions would set a dangerous precedent for intervention in the internal affairs of the southern states. A similar animus toward centralized authority caused President Jackson to move against the Second Bank of the United States. Inaction at the center meant that pressure for governmental support of economic development was directed principally toward state capitals. Even southern Democrats, hostile to the idea of federal action, were open to the idea that state governments should “promote both the general welfare and economic growth.” The result was extensive, uncoordinated, and often rivalrous state action.

This behavior by state governments was encouraged by ready access to foreign capital. Borrowing abroad was politically easier than financing through taxation. The spectacular success of the Erie Canal, and the apparently unstoppable boom in real estate, seemed to prove that state loans could be repaid easily with transportation revenues and banking profits. European investors, tantalized by the promise of high returns backed by government guarantees, eagerly purchased state bonds.

Until early 1839, no one had a clear idea of how much state governments were borrowing. It was at that point that the Comptroller of New York, A. C. Flagg, reported on his survey of other state officials. His conservative estimate of the trend was staggering. In the decade running from 1820 to 1830, state governments had borrowed a total of just twenty-six million dollars. In the next five years, new borrowing rose to forty million dollars.

And in the next three years—1836 to 1838—borrowing exceeded one hundred million dollars. In a very short period, American states had accumulated obligations roughly equal to the combined national debt of Russia, Prussia, and the Netherlands.

As the economy teetered in 1839, apprehensions about this mountain of state debt grew. In December 1839 a London bond trader, Alexander Trotter, published a long report warning that many state projects were unlikely to produce enough revenue to support loan repayment: "The time will probably come, and seems now to be approaching, which is to determine whether, in a case of a partial or total failure of the expectations of the projectors of the various schemes on which the states have entered, those states so circumstanced will be willing to uphold their credit by submitting to taxes." Investors were cautioned about the "rapid strides which democratic principles are making in the United States." Most voters, Trotter said, would neglect the "true interests" of their state and refuse to shoulder new taxes.

American and British financiers tried to bolster flagging confidence in state bonds. Encouraged by Nicholas Biddle and Samuel Jaudon, president and London agent of the Bank of the United States, and aided financially by the Barings Bank of London, Massachusetts Senator Daniel Webster made a three-month visit to England in mid-1839. The *New York Herald* predicted that the trip would "have a beneficial effect on the sale of stocks." But Webster also had a personal interest in going to London. He wanted to sell his own investment in fifteen thousand acres of western land, including parcels at the entrance of the new canal which the state of Illinois was building to connect the Illinois River and Lake Michigan—"a point of great centrality," Webster said to Jaudon, that "must inevitably become a most important place."

Webster assured British investors that default "would be an open violation of public faith, which would be followed by the penalty of dishonor and disgrace; a penalty no state would be likely to incur." He also sold almost two hundred thousand dollars of his own property during his visit. However, the market for American securities continued to soften. It was shaken badly in February 1840 when Pennsylvania—regarded as one of the more solid states—missed payments on its loans. There was "surprise and consternation" in London until news arrived on the next steamship that the state had borrowed from American banks to pay its British creditors.

In a final attempt to bolster the market, Barings Bank proposed that the federal government should give investors a guarantee against the default of state bonds. A federal guarantee, Barings said, would assure the continued flow of British capital into the United States. Although Barings' proposal

received a friendly reception in the American Whig press, it was savaged by Democrats as a scheme to cover the losses of foreign bankers. The Democrat-controlled Senate passed a resolution condemning calls for the federal assumption of state debt obligations in March 1840.

In July 1841, state finances finally collapsed. The sequence of state defaults began with Michigan's failure to meet its scheduled payment on state debt. This was different than Pennsylvania's delay fifteen months earlier, because it would be years before Michigan would resume payment, and only after investors had been forced to write off a substantial part of the state's obligations. In the next seventeen months, seven other states and one territory (Florida) would follow. By December 1842, one-third of the Union was refusing to meet obligations to overseas lenders.

Michigan, the first to default, was also the newest state in the Union. Admitted in January 1837, the state had a population of 175,000, most of whom had arrived in the territory in the preceding three years. "Michigan fever" was raging in 1836; in that year, more public land was sold to settlers in Michigan than had been sold in the entire country in 1833. Michigan's new constitution explicitly directed the state government to encourage internal improvements and put a duty on the legislature "as soon as may be, to make provision by law for ascertaining the proper objects of improvement in relation to roads, canals, and navigable waters."

The priority for state legislators was to build routes across the lower Michigan peninsula, allowing quick transit from Lake Erie to Lake Michigan. The debate was whether to make the transit by rail or canal, and at what latitude to make the crossing. In March 1837, legislators sidestepped both controversies by authorizing a cross-state canal and three cross-state railroads—in sum, four transits, comprising almost one thousand miles of rail and canal, within a one-hundred-mile band of largely unsettled territory. The estimated cost for the projects was five million dollars: a substantial amount given that the taxable property in the state was valued at only forty-three million dollars. (This estimate of costs proved to be too low, by millions.) However, Michigan's legislators did not intend to finance the improvements through taxes. Following the model of the Erie Canal, they would borrow the whole amount, and rely on canal and railroad revenues to cover the payments.

The timing of Michigan's venture was not good. Panic struck the American financial markets in March 1837, and when Michigan Governor Stevens T. Mason arrived in New York City to negotiate a loan, he found no interested investors. Reports from London and Amsterdam were equally bleak. It was not until June 1838, when the economy began to recover, that

Michigan was able to arrange for the sale of its bonds. It contracted with the Morris Canal and Banking Company, a prominent New Jersey bank led by a cousin of Nicholas Biddle, to act as its agent. Over the next six months the company gave the state 1.3 million dollars that it had raised from investors. At sunrise on July 20, 1838—"a day which will be recollected by the people of Michigan as the proudest that ever happened," according to the *Detroit Journal*—cannon were fired to celebrate the commencement of the cross-state canal.

However, the economic recovery of 1838 was faltering, and in the fall of that year, Governor Mason made a fatal error. The Morris Canal and Banking Company reported that the attitude of British banking houses toward American securities was "very gloomy" and that it was impossible to sell Michigan bonds on the terms set by the state. But Morris Canal itself, in combination with the United States Bank, took a better view of the market, and were prepared to buy all of the remaining 3.7 million dollars in bonds at par. The two banks promised to pay for the bonds by installments over four years. "It became a question," Mason told the Michigan legislature in January 1839, "whether this contract should be accepted, or our works of internal improvement be arrested." In March 1839, Mason took the offer.

Unfortunately, the eastern bankers had misjudged the market. The fragile condition of the United States Bank became clear in October 1839 when it announced that it was no longer capable of redeeming its obligations by payment of specie. Governor Mason sent the state's banking commissioner to Philadelphia to unwind the March contract and retrieve the state's bonds, but it was too late: the bank had already given the bonds to English and Dutch bankers as security for loans. The bank failed in February 1841 without making its payments to the state. The Morris Canal and Banking Company also sold its allotment of state bonds but failed to make payments to Michigan.

By the end of 1840, Michigan was in a predicament. Obviously it did not have the money promised to it by the two banks. Other revenue, mainly receipts from the limited parts of the Central and Southern railroads already completed, had declined sharply. The state had taken steps to reduce spending. The legislature abandoned the canal and northern railroad, and contractors were given state-issued notes or land grants to settle accounts. Nonetheless, the Michigan treasury was empty. When the first payment of interest on the five million dollars of state bonds came due on July 1, 1841, Michigan defaulted. It missed payment again in January 1842.

Within the state, there was mounting hostility toward the idea of honoring debt for which the proceeds had never been received. In February 1842,

legislators who favored repayment advanced a resolution renouncing the "doctrine of repudiation" but were outvoted. The House of Representatives promised only that it would satisfy "just demands against the treasury . . . at as early a day as possible." A week later, the legislature declared that Michigan would not honor any bonds for which the state itself had not been paid.

Indiana, Michigan's neighbor, also defaulted in July 1841. It was an older state—admitted to the Union in 1816—with a longer-running interest in internal improvements. When the Erie Canal was completed in 1825, Indiana legislators began planning the Wabash and Erie Canal, which would link the Maumee and Wabash rivers and allow travel from Lake Erie to the Mississippi. Construction on the Wabash and Erie began in 1834.

However, Indianans harbored grander ambitions. In 1836, the state legislature adopted the Mammoth Internal Improvement Act, which proposed to cover the state with a lattice-work of other canals, roads, and railroads. Like the Michigan program, which ribboned the lower peninsula with three railroads and a canal, the Mammoth system was the product of legislative logrolling. The bill passed because it contained a project for every significant constituency, all to be commenced at the same time. "What were the scenes enacted in this city of Indianapolis immediately upon the passage of that bill!" an Indiana legislator recalled. "There was a general rejoicing; every pane of glass in the city was illuminated; and the population turned out on the streets as upon a great holiday. Upon the occasion of the exhibition of fireworks in different parts of the State, two or three persons were killed. A sacrificial offering! A few days after this a grand ball was given in honor of the passage of the bill, at which there was music, feasting, and dancing."

The euphoria did not last long. Following the usual path, Indiana financed the Mammoth Act with ten million dollars in bonds. Many were sold to the Morris Canal and Banking Company, which passed them on to the London market. There were allegations of corruption in the placement of the loan—one of the responsible Indiana officials was also a stockholder in Morris Canal, and received a commission from the company—but this was not the only difficulty with the financing arrangements. As in Michigan, Morris Canal had promised to pay the state for the bonds in installments, and when it collapsed, Indiana was still owed over two million dollars.

As state revenues plummeted, Indiana fell into crisis. Nearly all work on the canal and rail projects ground to a halt, and the state began paying contractors with state-issued treasury notes rather than cash. Meanwhile, state legislators temporized on tax increases. Indiana was in better shape than

Michigan, with three times the population and taxable property, but here, too, there was widespread antipathy to tax hikes. In 1839 the legislature actually cut property taxes in half to provide relief to voters. "Our citizens should be favored as much as possible," the newly elected Democratic governor, Samuel Bigger, said in December 1840, "until the pressure of their own debts shall be removed." The legislature was forced to reverse the tax reduction in 1841, but found that taxes were now being paid almost entirely with the state's own treasury notes, which were useless for paying bondholders.

The main device for making payments to bondholders, the legislature decided, would be more borrowing. Unfortunately, the market was not prepared to accept new Indiana bonds for anything near their face value. The Mammoth bonds were trading for sixteen cents on the dollar. Selling new bonds at such a deep discount would have caused the state debt to skyrocket. Indiana chose instead to default on its existing debt.

Governor Bigger insisted that Indiana was not repudiating its obligations to bondholders. There was an important distinction, he said, "between the blameless inability to pay and that fraud which avoids an honest debt." Bigger also reminded Indianans of the corruption that had tainted the placement of the loan and claimed that the state had been "the victim of preconcerted imposition and fraud." And investors were guilty too, Bigger claimed: after all, Indiana could never have borrowed recklessly if credit had not been so easily available.

Like the other states, policy on internal improvements in Maryland was driven by anxiety about the loss of position to neighboring states, as well as the refusal of the legislature to make difficult choices among proposed works within the state. The threat posed by other states was obvious. The Erie Canal had made New York City the main center for inland trade on the eastern seaboard, and the Pennsylvania legislature had responded with rail and canal projects that would link the port of Philadelphia to the Ohio River at Pittsburgh. Some comparable plan was needed to make the Chesapeake Bay a plausible alternative as an eastern entrepôt for inland trade.

The first of two major works supported by the Maryland government was the Chesapeake and Ohio Canal. The plan was to make the Potomac River navigable from its mouth on the Chesapeake Bay to Cumberland, in western Maryland, and then to connect Cumberland to the Ohio River at Pittsburgh. The scheme was not new. The Chesapeake and Ohio Company began laboring on the project in 1828 with capital invested by the federal, Maryland, and Virginia governments. However, the work was more diffi-

cult than expected, and by 1834 the company was bankrupt. The Jackson administration was hostile to more aid and the project limped on with a two million dollar loan from the state of Maryland.

Businessmen in Baltimore, further north on the Chesapeake Bay, regarded the canal as a threat to their city's own ambitions as a center of trade. They supported an alternative plan: the construction of a railroad running from the headwaters of the Ohio River eastward to a terminus at Baltimore. The state legislature matched its investment in the canal project with an equally large purchase of stock in the Baltimore and Ohio Railroad Company, which also began construction in 1828. The railroad fared better than the canal but still needed further infusions of capital from state legislators.

In 1836 this policy of equal treatment was taken a step further. The canal company, again facing bankruptcy, appealed for more aid from the Maryland legislature. It was estimated that three million dollars would be needed to complete the first phase of the project to Cumberland. Reluctant to accept the complete loss of their earlier investments, legislators authorized the new financing. But legislative politics demanded that equal assistance should be given to the railroad, along with two million dollars for other public works—a total of eight million dollars in new support.

The initial plan was for the state to sell its own bonds and use the proceeds to buy shares or bonds of the canal and railroad companies. However, the state delegation sent to London, Amsterdam, and Paris in June 1837, scarcely weeks after the initial panic, found no buyers for the state's bonds. Back in Baltimore, the delegation resorted to an alternative plan: they swapped the state's bonds to the canal and railroad companies in exchange for their shares and bonds. Throughout 1838 and 1839 the companies themselves sold the bonds in the United States and Europe, often at substantial discounts. Barings Bank was the main agent for the sale of Maryland bonds. It assured investors that the projects would be profitable and that, in the worst case, Maryland taxpayers would buckle down and accept new taxes.

By 1841, the state of Maryland was fourteen million dollars in debt, with interest obligations of six hundred thousand dollars a year, roughly two-thirds of the whole state budget. The expectation had been that the income from the state's canal and railroad holdings would be large enough to cover these charges, but actual income from those investments in 1841 was only fifty thousand dollars. The shortfall was too massive to be solved by reducing government spending. The state legislature authorized modest property taxes, the first since 1824, but lacked any capacity to collect them. The state borrowed until the market refused to accept any more bonds, and finally

defaulted in October 1841. It would not resume payments on its public debt until January 1848.

Arkansas also defaulted in October 1841, the first southern state to do so. Arkansas was admitted to the Union in 1836, shortly after Michigan, and like Michigan it had a constitution that directed the state legislature to play an active role in economic development—this time, by chartering two state-supported banks. The State Bank of Arkansas was the financial agent of the state and had the duty to make loans “in each county, in proportion to representation,” while the Real Estate Bank of Arkansas would “promote the great agricultural interests” of the state. The two banks were authorized to raise three million dollars in working funds by selling state-guaranteed bonds.

This was regarded as a riskless proposition. As a legislative committee explained in 1836, the banks were essentially a money machine for the state: “It has been the policy of other States, to procure means from foreign capitalists. . . . It is believed that the State could borrow any desirable amount of capital at an annual charge of five per centum, if not upon better terms. The capital being loaned at eight per centum, being three per centum in favor of the State . . . will produce an accumulation sufficient to redeem the whole in less than twenty years.” The President of the Real Estate Bank assured the legislature in 1837 that it would “never be called upon to pay either the principal or interest of these bonds.” The bank’s assets included mortgages on land that was “the very best in the United States, in a region of the country where the production of cotton must ever make them more valuable.”

“The gentlemen who organized this bank,” an Arkansas financier said in 1906, “were ignorant of the fact that the banking system had received a shock from the effects of which it did not fully recover for several years.” The initial plan had been for the banks to sell their bonds on the London market, but this was not possible in 1837. When conditions improved in 1838, most of the bonds were sold to a New York bank, the North American Trust and Banking Company. By October 1839, the Arkansas banks were already in distress and struggling to pay the first installment of interest on these bonds. Desperate for liquidity, the Real Estate Bank sold most of its remaining bonds to North American Trust at a discount, in violation of state law.

North American Trust re-sold most of its Arkansas bonds to British investors, promoting them as securities “of a very high order . . . having the faith and property of a young, vigorous, and triumphant state.” By 1840, however, investors were frustrated by the Arkansas banks’ failure to make regular interest payments. By early 1841, the two banks were in default.

(Both were liquidated by the legislature in 1843.) The banks refused to raise funds by moving against their own defaulting mortgagors because the mortgaged property was almost worthless. Attempts to make interest payments with more bonds were rebuffed by bondholders, who turned to the state government instead, demanding that it should honor its guarantee of the debt.

Governor Archibald Yell refused to satisfy the bondholders. A firm Jacksonian, Yell was elected in 1840 on the promise to break the “heartless tyranny” of the banking establishment over the common people. In October 1841, he told bondholders that the state’s guarantee was voided because the Arkansas banks had misled the legislature and violated state law. “You mistake the character of the people,” Yell wrote to a British banker who had received Real Estate Bank bonds from the North American Trust, “if you flatter yourself that they will calmly submit to be taxed to pay the bonds hypothecated to stocks jobbers, to enable the bank to carry on her speculations without the authority of law and in express violation of her charter.” “This doctrine of Yell’s,” the *Times of London* retorted in January 1842, “goes by the scientific name of repudiation.”

Illinois also defaulted in October 1841. The state had already stopped work on the Illinois and Michigan Canal. This was the project that Daniel Webster, selling his own land to investors in London in 1839, had promised would make much of the property so valuable. Illinois also suspended all of its other public works, but this was not enough to avoid default.

The improvement scheme had been substantial. In February 1837, the Illinois legislature authorized the construction of a north-south railroad that would connect at its head to the Illinois and Michigan Canal, as well as a ladder of east-west railroads that would link to the north-south spine. The state was authorized to borrow eight million dollars for the improvements, all of which were to be undertaken simultaneously. This was like Indiana’s Mammoth Act, adopted a year earlier. Illinois went a step further, also promising to invest three million dollars in two state banks, sharing Arkansas’ hopes of easy profits by borrowing cheaply overseas and lending at home. Governor Joseph Duncan, an opponent of government-run public works and banking, vetoed the whole scheme but was overridden by state legislators.

The panic upset the state’s plans for selling its eleven million dollars in bonds. In July 1837 Duncan used the crisis as an argument for repealing the improvements law, but legislators were solidly opposed. (“So here ends, we hope forever, the opposition to our noble system of improvements,” declared the *Springfield State Register*. Abraham Lincoln was among the representatives who voted against Duncan’s veto and his call for repeal.) Duncan’s

successor, Thomas Carlin, said privately that he was "clearly convinced . . . of the utter failure of the Internal Improvement System," but he hesitated to challenge legislators openly. In 1838, the legislature authorized another million dollars for public works. State officials labored to obtain loans in New York and London, usually agreeing to accept less than par value for its bonds.

Carlin finally urged the legislature to halt construction in December 1839, and in January 1840 it reluctantly acquiesced. The state was already saddled with ten million dollars of debt and six hundred thousand dollars in annual interest charges—an amount six times the ordinary expenditure of the state. Throughout 1840 and 1841, the state legislature fiddled. It tried to sell state lands, paid contractors with state bonds, and arranged short-term loans in New York and London to cover interest payments. By October 1841, the state had run out of options, and defaulted on its bonds. At public meetings across Illinois there were calls for open repudiation. In his last message to the state legislature in December 1842, Governor Carlin warned creditors that it would be impossible for Illinois to honor its debts: "All the channels of trade are completely obstructed, and the vitality of business seems almost extinct. . . . The products of the country cannot be disposed of for cash at any price. . . . To increase the rate [of taxation] at the present time would be to inflict general embarrassment and distress, and to impose upon the people a burden which they could not possibly endure." Carlin said that it was impossible for the state to make arrangements even for the payment of interest on the state debt. The state's creditors would have to accept that they would never see the return of the full principal on their loans.

The Florida Territory pursued economic development primarily through support of banks. In 1835, the territory authorized a government guarantee for a half million dollars of new borrowing by the Bank of Pensacola, so that the bank itself could buy stock in the newly chartered Alabama, Florida and Georgia Railroad. Between 1833 and 1838 it also authorized the new Union Bank of Florida to raise working capital by selling three million dollars of territorial bonds. The main purpose of the Union Bank was to support the expansion of plantations, and as in other southern states this was regarded as a simple and riskless enterprise. After the crash, a prominent Floridian recalled the logic: "You want to know how it operates? . . . [A] man can mortgage his land or negroes; draw from the bank two-thirds (in money) of their value, which will be reinvested in more land and negroes. One or two crops of cotton will redeem all obligations to the bank; so you see that it is the best thing afloat; a man can just go to sleep and wake up rich."

In June 1838, the president of the Union Bank sailed for Europe to sell the last and largest issue of Florida bonds to investors in London and Amsterdam. It was strongly supported by the Bank of the United States, which assured investors that the Florida bonds were "as solid and desirable a security as any in the market." Daniel Webster vouched for the territorial legislature's authority to guarantee the bonds. The American bankers promised that the property mortgaged by their borrowers was conservatively assessed, and certain to increase in value. "In every way the present bondholders are amply secured," the financial correspondent for London's *Morning Chronicle* concluded in February 1839. "Florida, no doubt, is a very rising and prosperous country."

In fact, the Pensacola and Union banks were badly mismanaged. Appraisals of the value of mortgaged property were vastly inflated. Borrowers themselves often wasted their loans, as a legislative committee observed in 1840: "To become suddenly rich, to become off-hand the proprietor of lands, negroes, houses and equipages . . . was to enjoy in reality the vision of fiction." The Pensacola Bank defaulted in January 1840, while the Union Bank struggled on until January 1842. Then European lenders turned to the territorial government for relief.

But Florida's legislators refused to help. The territorial government that approved the guarantees had consisted solely of a presidentially-appointed governor and a small elected council. In 1838 the council was replaced by a larger and bicameral legislative branch. This change amplified the populist impulse against financiers and also gave legislators a pretext for refusing to honor the guarantees. The territorial government that gave commitments to investors, the new House Judicial Committee explained in 1840, was really an agent of the federal government and not an instrument of the sovereign will of Floridians. Attempts by the territorial government "to act for and in the name of the People of Florida, are usurpations," the committee said. "They can be of no binding obligation." Both houses of the Florida legislature affirmed their stance in February 1842: The territorial legislature was never "invested with authority to pledge the faith of the Territory . . . all pledges of the public faith so granted are null and void."

The most rancorous dispute over state debt came in Mississippi. Foreign investors were still reproving the state for its conduct—and seeking remedies in court over its delinquency—almost a century later. Trouble came to Mississippi because of its support for state banks. In 1830, it chartered the Planters' Bank, and purchased most of its equity with two million dollars in government bonds. In January 1837, the Mississippi legislature authorized a

second institution, the Union Bank², to be supported by up to fifteen million dollars of state bonds. The Mississippi constitution barred the state from issuing debt unless the next legislature, to be elected in November 1837, adopted the same bill. The panic, which interceded in March 1837, did not cause voters or legislators to pause, and in January 1838 the bill was approved a second time.

The new Union Bank sold five million dollars in Mississippi bonds to the Bank of the United States in August 1838. When news of the sale was received in the state capital, "the multitudes were wild with a delirium of joy. Bonfires and illuminations were the order of the day, or rather of the night, while great guns, the rattle of drums, the blare of trumpets and the shouts of the frantic multitude made night absolutely hideous." Most of the bonds were sent to Europe, either sold to investors or given as security for loans to the Bank of the United States.

In Mississippi, the public's mood was susceptible to violent swings. Only a few years earlier, the same multitude that now celebrated the Bank of the United States' purchase of Mississippi bonds had voted overwhelmingly for Andrew Jackson, the bank's nemesis. In late 1839, the public's mood swung again, as the Mississippi economy and the two state-supported banks collapsed. Governor Alexander McNutt responded to the changing political atmosphere. McNutt had signed the bill establishing the Union Bank in 1838, as well as the bonds sold to the United States Bank. By the end of 1839, however, McNutt was attacking the Planters' and Union Banks for malfeasance, demanding their liquidation and warning that the state might not honor its guarantee on bonds sold by the banks.

McNutt's campaign against the banks escalated over the next year. In March 1840, he issued a proclamation declaring that the state would not recognize bonds sold by the Union Bank, on the grounds that the bank had violated terms of sale set by the state. In January 1841, McNutt restated his commitment to repudiation. The people of Mississippi, he said, would never elect representatives who were prepared to levy the taxes required for repayment. And in any case the dispute on repayment was really one between the Mississippi banks and their foreign creditors, such as the Rothschilds. The Union Bank, McNutt told legislators,

has hypothecated these bonds, and borrowed money upon them of the Baron Rothschild; the blood of Judas and Shylock flows in his veins, and he unites the qualities of both his countrymen. He has mortgages upon the silver mines of Mexico and the quicksilver mines of Spain. He has advanced money to the Sublime Porte [the Ottoman

Empire] and taken as security a mortgage upon the holy city of Jerusalem and the sepulchre of our Savior. It is for this people to say whether he shall have a mortgage upon our cotton fields and make serfs of our children. Let the baron exact his pound of flesh of Mr. Jaudon and the Bank of the United States, and let the latter "institution of our country" exact the same of the Mississippi Union Bank. The honor, justice and dignity of the people of this state will not suffer them to interfere in the banker's war!

The dispute came to a head in May 1841, when both Mississippi banks ceased payments on their bonds. In July, McNutt told the Dutch investment house Hope and Company that the state "will never pay the five millions of dollars of state bonds issued in June 1838, or any portion of the interest due." McNutt approached the state elections of November 1841 as a referendum on repudiation and was rewarded with a legislature that was overwhelming hostile to repayment. In late March 1842, the packet ship *Oxford* brought news to Liverpool that Mississippi legislators had voted for repudiation five weeks earlier.

Pennsylvania's default was the most spectacular. By the end of 1841, the state had accumulated a debt of forty million dollars, far more than any other state. Interest costs alone were almost two million dollars a year, while total state revenues were less than one million dollars.

Before the crisis, Pennsylvania had been absorbed in a fatal competition with New York State for the control of inland trade. The success of the Erie Canal, historian Avery Bishop wrote in 1907, "necessitated the commencement of similar works in other states for the sake of their own self-preservation." Between 1826 and 1835, the state borrowed twenty-five million dollars to build a network of roads, railroads, and canals that would run from the port of Philadelphia in the east to the Ohio River at Pittsburgh. But New York had geographical advantages that "made defeat inevitable to Pennsylvania from the beginning." Even in 1835 the state was not earning enough from its improvements to cover its interest charges.

The Panic of 1837 disrupted state finances and caused a brief delay in interest payments, and in 1838 the state treasurer warned the state government that Pennsylvania was again running into deficit, but legislators continued to borrow. President Jackson's battle with the Bank of the United States created a perverse incentive for state legislators to do so; when the bank sought a state charter to replace its expiring federal charter in 1836, Pennsylvania state legislators seized the opportunity to extract a promise from the bank that it would buy an additional six million dollars in state debt.

Earlier than many other states, Pennsylvania tried to raise taxes to cover its mounting interest costs. By 1842, total tax revenue was almost twice what it had been in 1835, but this was still far too little to restore the state's finances. The state also resorted to other tactics to avoid collapse. In April 1840, legislators compelled banks with state charters to lend three million dollars to cover the state's deficit, but the banks themselves were near collapse. A year later, the state treasury began paying many of its creditors with small-denomination relief notes, which were often returned to the state for payment of taxes and did little to improve its ability to pay overseas lenders.

By the end of 1841 the state was desperate. Philadelphia merchant Sidney Fisher wrote in his diary in early December that "the doctrine of repudiating state debts is spreading rapidly, is spoken of openly and boldly defended by many presses and leading politicians." A public meeting at the Philadelphia courthouse later that month passed resolutions denying that Pennsylvanians were under any "moral, legal or political obligation" to repay the "so-called state debt." In early 1842, the state met interest payments by scavenging from the assets of the Bank of the United States, which had collapsed in January. By August 1842, the treasury had nothing but its own relief notes, and Pennsylvania finally defaulted. "The substance of our State is swallowed up," wrote a correspondent to the local newspaper in Smethport, Pennsylvania, "and repudiation stares us in the face."

Louisiana was the last of the nine defaulters and, after Pennsylvania, the largest, with twenty-four million dollars in outstanding debt by 1842. Most of this was sold in Europe to support three state-chartered financial institutions: the Consolidated Association of Planters, Citizens Bank, and Union Bank. The banks were hard hit by the economic crisis but as late as November 1842 the *Times of London* commended all three for "struggling on in the payment of their dividends." Governor Andre Roman, the *Times* reported, had promised lenders that they would "never have to repent their confidence in the state."

The *Times'* commendations were misplaced. The newspaper did not know that the state government had forced the Consolidated Association and Citizens Bank into liquidation in October 1842. In January 1843, British investors learned that neither bank was capable of continuing payments on its bonds. The Union Bank staggered on until the middle of 1844, when it notified the Barings Bank that it could not repay the principal on bonds coming due in November of that year. British investment banks took the position that the state government ought to have honored the obligations on state bonds immediately after the banks defaulted. Louisiana legislators

disagreed, insisting that the investors' first recourse had to be against the assets of the liquidated banks. The legislature then compromised the prospects of recovery from the banks by allowing plantation owners to redeem mortgaged properties on preferential terms. Governor Roman tried to reassure bondholders. "Louisiana will not shrink from the call that will be made upon her," he said in January 1843. "The purity of her honor must be maintained." In London, however, Barings Bank told investors that the state's actions were "disastrous" for holders of its bonds.

No other states defaulted after January 1843, but the damage that was wrought in the preceding year and a half was extraordinary. In 1839, Daniel Webster had assured British investors that no state would risk the "penalty of honor and disgrace" by defaulting on their bonds. Now nine governments, responsible for two-thirds of all the American government debt in private hands, were routinely missing interest payments, attempting to sidestep creditors, or flatly repudiating their obligations. Across the Atlantic, investors were outraged.

Disgrace in Europe

Yankee Doodle borrows cash,
Yankee Doodle spends it,
And then he snaps his fingers at
The jolly flat who lends it.
Ask him when he means to pay,
He shews no hesitation,
But says he'll take the shortest way,
And that's repudiation!

(*Literary Gazette*, London, January 1845)

As American state governments tumbled, the mood in the world's financial center soured. "I was in England when the intelligence was received, and the shock was felt, of your failing to pay the dividends on your bonds," James Hamilton told a crowd of Mississippians in 1843. Hamilton, a former governor of South Carolina, had been in London as an agent trying to sell bonds for the new republic of Texas. No one would buy them. The capital was seized was panic. Hamilton was accosted by an aged British pensioner who had put his savings into Mississippi bonds. "I assured this veteran, with a gush of sensibility equal to his, that every farthing of the Mississippi bonds,

interest and principal, would be paid, *as sure as there is a God in Heaven.*" Hamilton was mistaken; Mississippi would never pay.

"Great bitterness of feeling is very naturally felt" by the mass of investors in American bonds, the American minister to London, Edward Everett, reported. "Many have by their investments lost all the earning of active life and the fund on which they relied for their support in old age. That this feeling should find vent in the popular press is natural." The *Times of London* reported that "[a]n American gentleman of the most unblemished character was refused admission to one of the largest clubs in London on the sole grounds that he belonged to a republic that did not fulfill its engagements. . . . It is not too much to expect that the example will be followed in other establishments. No distinction, as we understand, has been made as to the State to which an individual may belong, but the whole United States are looked upon as equally tarnished."

That defaulting states would be barred from financial markets was to be expected. But non-defaulting states—and the U.S. government itself—were alarmed by the prospect that they, too, would be denied loans. Shortly after the first defaults, President John Tyler delivered his first annual address to Congress, urging overseas investors to recognize that each state was autonomous, and "should in no degree affect the credit of the rest. . . . [T]he foreign capitalist will have no just cause to experience alarm as to all other State stocks because any one or more of the States may neglect to provide with punctuality the means of redeeming their engagements."

The address, quickly reproduced in London, had no effect. Joshua Bates, head of American trade at Barings Bank in London, confided to the bank's agent in Boston in December 1841 that British investors "in their anguish are crying out against *all* American stocks, and we shall never be able to sell any more. . . . I have come to the conclusion (which had best be concealed perhaps) not to sell any more American stocks. . . . I believe it will only be wasting our time to have anything to do with them." Barings' principal competitor, the House of Rothschild, was even cooler on American securities. Anthony de Rothschild, a partner in the London branch of the family's bank, urged his brothers to sell all U.S. investments. "Let us get rid of that blasted country—as much as we profitably can. It is the most blasted & the most stinking country in the world—and we must get rid of it."

Some Americans believed that British investors were deliberately imposing a rule of collective responsibility on American governments; that is, consciously punishing non-defaulting states for failing to bring defaulters into line. Everett also believed this was the case, and there was evidence to

support his view. Shortly after Florida's threat of repudiation, a provincial newspaper in the United Kingdom warned other state governments to "remonstrate and prevent the perpetration of such an act of injustice. . . . We may just throw out to them a hint, that capitalists on this side of the water will not readily distinguish between such States as have supported their credit faithfully and honestly, and those which have repudiated their bonds." The *Times* agreed. "It is quite in vain for the honest portion of the United States to assert that because they have had no direct share in the guilt and turpitude of the repudiating States, therefore they are to stand clear. They are citizens of a country in which such acts are committed with impunity."

The more likely explanation for the behavior of British investors was ignorance of the distinctions among American bonds, or indiscriminate frustration about defaults. Barings' American agent, Thomas Ward, urged Bates in London to emphasize the disparities between state governments, but Bates replied that it was futile. "At a distance people do not see the local differences and argue that as Mississippi may repudiate her debt so may Massachusetts, and so the credit of all the States and that of the United States is involved in one common ruin." A British diplomat agreed that most investors simply did not discriminate between states: "There is necessarily much ignorance but there has not been, nor can there well be, any conspiracy." Even the *Times* conceded that most investors "never make themselves acquainted even with the broad distinction between the different states of a federal government. . . . This was very ignorant certainly, but still a very common ignorance among persons purchasing foreign securities."

The lowest point was reached in 1842, as the U.S. Government attempted to sell its own bonds to European investors. The federal government's record was impeccable: it paid off the debt accumulated from the War on 1812 on schedule, and had been largely debt-free for almost a decade. The American and British press viewed the sale of federal bonds as a test of the market. "Until that scrip pass current in Europe, the utmost exertions of the citizens of the United States to regain their credit will be ineffectual." It was "a trifling loan," said Edward Everett, but no one "in this great metropolis of the financial world" would subscribe to it. American agents went "a-begging through all of the exchanges of Europe" and eventually gave up in despair. The Rothschilds were especially cutting. "You may tell your government," said James de Rothschild, head of the family's Paris bank, "that you have seen the man who is at the head of the finances of Europe, and that he has told you that you cannot borrow a dollar, not a dollar." The version of this story which circulated in London was even more emasculating. "They cannot

go to war," Rothschild was reported⁸ as saying, "because they cannot borrow a dollar."

What began as a problem of credit soon blossomed into a matter of high culture. The British romantic poet William Wordsworth led the way. In December 1839, Wordsworth confided to an acquaintance in Philadelphia, Henry Reed, that "several of my most valued friends are likely to suffer from the monetary derangements in America." Wordsworth's own family had invested in Mississippi bonds. "There is an opinion pretty current among discerning persons in England that, Republics are not to be trusted in money concerns, I suppose because the sense of honour is more obtuse, the responsibility being divided among so many. For my own part, I have as little or less faith in absolute despotisms, except that they are more easily convinced to keep their credit by holding to their engagements." Wordsworth was already drafting the poem *Men of the Western World*, soon published as one of his "sonnets dedicated to liberty and order":

Men of the Western World! in Fate's dark book
Whence these opprobrious leaves of dire portent?
Think ye your British Ancestors forsook
Their native Land, for outrage provident;
From unsubmitive necks the bridle shook
To give, in their Descendants, freer vent
And wider range to passions turbulent,
To mutual tyranny a deadlier look?

The poem appeared in New York in April 1842, hailed in a literary journal as "the free utterance of a painful emotion, the solicitude that liberty may be degenerating here into licentiousness." What Wordsworth said mattered to the American literati—Ralph Waldo Emerson had recently written that "the fame of Wordsworth is a leading fact" in American literature—and many understood him as a poet who was sympathetic to the American project of democratic rule. Consequently, *Men of the Western World* was a jolt which many struggled to accommodate. The Boston poet Park Benjamin penned a sympathetic reply:

If Pennsylvania refuse to pay,
If Indiana name a distant day,
If Illinois and Mississippi act
Like brave defaulters, and confess the fact,
If Maryland suspend on either shore

Her legal payments twenty years or more—
Not they, except in name, the judgment bear,
Though on their brows the slavish brand they wear.
We are accused, *our* fame and honor lost,
And they are swindlers at the country's cost.

This echo did little to staunch Wordsworth's frustration. In 1843 he wrote to Seargent Prentiss, a Whig politician in Vicksburg, to lament his family's losses on Mississippi bonds:

The personal interest which I attach to it is not solely on account of the sum of money that is at stake, as the condition of the proprietors, a brother and sister of Mrs. Wordsworth, are advanced in life, and one has a large family; and both, owing to various misfortunes, are in very narrow circumstances. The other owner is my only daughter, who is married to a gentleman that has been very unfortunate also. . . . Nothing remains for the suffering parties but patience and hope. . . . In matters like this, time, as in the case of my relatives, is of infinite importance, and it is to be feared that the two individuals, for whose comfort payment is of the most consequence, may both be in their graves before it comes.

To Reed in Philadelphia, Wordsworth wrote that he was especially disturbed by the default of Pennsylvania:

Theirs is one of the richest countries in the world, so that the whole resolves itself into a question of morality. An immense majority of the educated inhabitants desire nothing more earnestly than that the debt should be provided for, but their opinion is overborne by the sordid mass, which will always have a considerable influence over a community whose institutions are so democratic as yours are. . . . I mourn . . . for the disgrace brought upon, and the discouragement given to, the self-government of nations by the spread of the suffrage among the people.

Wordsworth, now the Poet Laureate of the United Kingdom, penned another sonnet on order and liberty in 1845, this time with more pungency. In *To the Pennsylvanians*, Wordsworth wrote:

All who revere the memory of Penn
Grieve for the land on whose wild woods his name
Was fondly grafted with a virtuous aim,
Renounced, abandoned by degenerate Men

For state-dishonour black as ever came
To upper air from Mammon's loathsome den.

By 1845, though, this was mild stuff. Another pillar of the Anglo-American literary establishment had already made a more sensational assault on the Pennsylvanians. Sydney Smith was an Anglican cleric, a canon of St. Paul's Cathedral in London, a Whig reformer, and one of the most highly regarded writers of his age—"the wittiest man in England," according to one American journal. Smith was also the unfortunate owner of Pennsylvania bonds, and in April 1843 he published a petition to the U.S. Congress for relief against "an act of bad faith which has no parallel, and no excuse." Americans, said Smith, has emboldened the enemies of democratic institutions across Europe:

The Americans, who boast to have improved the institutions of the old world, have at least equalled its crimes. A great nation has been guilty of a fraud as enormous as ever disgraced the worst king of the most degraded nation of Europe. . . . Sad is the spectacle, to see you rejected in every state in Europe, as a nation with whom no contract can be made, because none can be kept; unstable in the very foundations of social life, deficient in the elements of good faith, men who prefer any load of infamy, however great, to any pressure of taxation, however light.

Smith's petition was reprinted across the United Kingdom. A prominent Tory magazine needled the reformer for losses suffered at the hands of America's "swindling democrats." *Punch* published a poem ostensibly submitted by a correspondent in Larceny Lane, Pennsylvania:

There's Sydney Smith, poor foolish man,
Keeps up a ugly feelin',
And tries to prove our matchless plan
Of borrowing is—stealing!
But let the critter rant away,
We'll try again to-morrow;
Whoever dreamt we meant to pay
The money that we borrow?

Smith's petition was also taken up *forte* by the U.S. press. American opinion was riven. Many in the commercial and intellectual elite who cherished their cross-Atlantic ties were stung by Smith's criticism but prepared to admit

its truth. It helped that Smith was regarded as a sympathetic liberal—an "old protector of the country," as an American magazine said. Smith, the *Bankers' Magazine* concluded, had delivered "a most severe, though just castigation." But the popular press was generally hostile. In August 1843, the *Times'* American correspondent reported that Smith's petition had produced "violent ebullitions of anger and spit from those journals who, in order to live, must cater to the passions of the multitude."

Smith's American critics made three ripostes. The first was that he had falsely slandered democratic institutions; after all, other states were still punctual in their payments, and there were many examples of monarchies that had defaulted before. The second reply was that Smith was simply a disgruntled gambler. British bonds were more secure but paid half the return; Smith must have known that "the income [from Pennsylvania bonds] was greater because the security was less." In truth, though—and this was the third retort—Smith probably had not been careful in investigating precisely where he was sending his money. Indeed, it seemed clear that many Britons simply did not understand how the American federation worked. They appeared to regard it just as they viewed their own government: unitary and highly centralized. Although Tyler had made it clear in his 1841 address that the federal government was not responsible for state debts, Smith, who was better informed than most, still directed his petition to Congress rather than the state capitol in Harrisburg.

The same error was made by Smith's compatriots, who imagined that Americans in non-defaulting states might feel a sense of shame or have the power to induce defaulters to change their ways. "I find myself involved, with the rest of the nation, in indiscriminate censure," wrote a Bostonian, "because some of those who unite with us under the same government, in Pennsylvania and Mississippi, are delinquent. Still, I have no power to act there . . . [It cannot] be expected . . . that one state will pay for another, or that the nation will pay for either. When the money was lent, these distinctions were clearly perceived, and a higher rate of interest was required and allowed." An American correspondent to the *Times* agreed that the federal government could not "interfere with the states in any effectual way. . . . As to national disgrace, [Americans] do not understand it, for theirs is no national feeling; and a citizen of the State of New York considers it no reflection upon *his* State, that Mississippi repudiates."

Smith wrote privately in late 1843 that "[m]y bomb has fallen very successfully in America, and the list of killed and wounded is extensive. I have several quires of paper sent me every day, calling me monster, thief, atheist,

deist, etc.” In public, he continued to throw grenades. “I never meet a Pennsylvanian at a London dinner without feeling a disposition to seize and divide him,” Smith wrote in the *Times* in November 1843:

to appropriate his pocket handkerchief to the orphan, and to comfort the widow with his silver watch, Broadway rings, and the London Guide which he always carries in his pockets. How such a man can set himself down at an English table without feeling that he owes 2*l.* or 3*l.* to every man in company, I am at a loss to conceive. . . . The truth is, that the eyes of all capitalists are averted from the United States. The finest commercial understandings will have nothing to do with them. . . . Great and high minded merchants loathe the name of America.

Furthermore, Smith said, the United States had crippled its foreign policy through improvidence. “The warlike power of every country depends on their Three per Cents. . . . In the whole habitable globe [the Americans] cannot borrow a guinea, and they cannot draw the sword, because they have not the money to buy it.” Smith clearly had heard of James de Rothschild’s taunt to the Americans a year earlier.

Now the controversy escalated into a matter of high diplomacy. The following week, the *Times* published a retort from Duff Green, a “rough, coarse, red-faced” American working as an informal emissary of President Tyler in London. Green accused Smith of stirring up sentiment for war against the United States and warned that Americans would be ready for conflict, even if they were unable to borrow in Europe: “It may be true that the Governments of Europe cannot go to war without having made arrangements with the wealthy bankers in question; but such is not the condition of America.” Smith dismissed Green’s warning. “What do I mean by war?” he replied. “Not irruptions into Canada—not the embodying of militia into Oregon, but a long tedious maritime war of four or five years’ duration. Is any man so foolish to suppose that Rothschild has nothing to do with such wars as these?”

The jibes were being reprinted throughout the United Kingdom and the United States, and finally Edward Everett, the U.S. minister in London, visited Smith to conciliate. Everett, Smith said, almost persuaded him that Pennsylvania would honor its debts—but it did not matter, because Smith had already sold the bonds at a sixty percent discount. And so his war of words ended.

Another British writer carried on. Throughout 1843, Charles Dickens had been publishing installments of his novel, *Martin Chuzzlewit*. The story

was already being reprinted in the United States. In the September 1843 installment *Chuzzlewit*, a budding architect, is defrauded by an American agent promoting a city very much like Cairo, Illinois, which Dickens had visited the previous year. The two look at a lithograph of the fictional city of Eden:

A flourishing city! An architectural city! There were banks, churches, cathedrals, marketplaces, factories, hotels, stories, mansions, wharves; an exchange, a theatre; public buildings of all kinds, down to the office of the *Eden Stinger*, a daily journal; all faithfully depicted in the view before them.

“Dear me! It’s really a most important place!” cried Martin.

“Oh! It’s very important,” observed the agent.

“But, I’m afraid,” said Martin, glancing again at the Public Buildings, “that there’s nothing left for me to do.”

“Well, it ain’t all built,” replied the agent. “Not quite.”

Martin Chuzzlewit, the *Democratic Review* reported in October, was “spiteful and malignant . . . [and] thoroughly vile.” But Dickens was not done. In early December 1843, only days after Smith’s final sally against Duff Green, Dickens published his novella, *A Christmas Carol*. There is a passage in the story in which Ebenezer Scrooge reaches for a phrase to describe a worthless commercial note. It is, Scrooge decides, “a mere United States’ security.”

◀ Shackling the States

A burnt child dreads the fire, and this state has been most dreadfully burned.

—John Pettit, delegate to the Indiana state constitutional convention, November 1850

By the end of the 1840s, most of the defaulting states had resumed payments to bondholders. Pennsylvania resumed in 1845, Illinois in 1846, Indiana in 1847, and Maryland in 1848. Louisiana resumed on some of its debt in 1844, although it never acknowledged bonds issued to support the state’s plantation banks. Michigan eventually honored bonds for which it had received the full principal, but insisted that holders of other bonds would be paid only thirty cents on the dollar. Two states—Mississippi and Florida—remained solid for repudiation. Arkansas was practically in this camp as well: it did not acknowledge liability for most of its debts until after the Civil War.

European investors were warning again to American government debt, although still with a significant premium for the risk of default. Pennsylvania 5 percent bonds that had been trading in London for thirty-five cents on the dollar in September 1842 were trading at eighty cents in June 1849, while Indiana bonds were up from twenty cents on the dollar in June 1842 to fifty-two cents in March 1849. The federal government had no difficulty in selling bonds in Europe to finance its war with Mexico in 1846–1848. The diehard repudiators were still locked out of the financial markets, however.

The states' resumption of payments played an important part in reviving the market for American government securities in London and Amsterdam, but the states took additional steps that had the effect of restoring the confidence of overseas investors. In fact, the economic crisis had triggered large changes to the organization of state governments, and not only among the defaulting states. This was reflected in constitutional and statute law, and also in political culture, as Americans drew lessons from the economic debacle. Foreign investors themselves played an important role in producing this painful but substantial transformation in the American political order.

One aspect of this transformation was a shift in the tax policy of state governments. Before the crisis, states drew most of their revenue from their investments in banks and improvements, land sales, and fees charged to businesses. Throughout the country there was "sullen resentment" against property taxes, and as a consequence most state governments avoided them whenever possible. In Maryland, where there was an "overwhelming prejudice against direct taxation," property taxes had been eliminated in 1824. An editorialist observed in 1843 that citizens of Maryland "had hardly known what a state tax was, for a generation." Nor was Maryland alone: many other states lacked property taxes as well. During the boom, the widely-held ideal of a "tax-free system of state finance" seemed within reach.

In most states, the crisis broke the back of public resistance to the systematic application of property taxes. Typically, legislators began with modest tax levies, and only increased them when revenues provided inadequate to service debts. This hesitation frustrated bondholders, but even critics of the defaulting states conceded that it was probably unavoidable: "Both parties have found, when in power, what, indeed, any party must always find, that there are always great obstacles in the way of a large and sudden increase in taxes. No people will submit to it willingly. It requires time to convince them of its necessity and policy; some time is necessary to enable them to accommodate their affairs and resources to the new demand."

Eventually, though, a comprehensive shift in state financing did occur. In both defaulting and non-defaulting states, the burden of property taxation and the share of state revenue drawn from property taxes increased markedly in the 1840s. The ideal of a "tax-free system" was shattered.

The levying of new property taxes had implications for the organization of government. The actual amount of property tax revenue in Maryland between 1841 and 1844 was only half of what Maryland legislators had expected, largely because of the state's inability to enforce the law. The task of collecting taxes belonged to city and county governments, which had been given more autonomy over the preceding two decades. Few local officials pursued the job aggressively, and several counties refused to collect property taxes at all. Public meetings were held across the state to protest taxes that "oppress the people beyond their power of endurance." In 1844, legislators reluctantly increased the state government's own power to collect revenues. The governor was authorized to appoint his collectors in delinquent counties, and penalties for resisting taxes were raised. Collections improved, although protests against "ruinous taxation" continued across the state.

Enthusiasm for state-driven projects to spur economic development also waned. At first this was a pragmatic response to budget crises rather than a careful reappraisal of the government's role. States such as Illinois and Indiana quickly stopped work on canals and railroads because they could not afford to pay contractors, while Louisiana and Arkansas forced state-supported banks into liquidation to curtail further losses. Some governments also privatized state-owned projects in an attempt to settle their debts, although few could be sold for significant amounts. Michigan exchanged two of its railroads for disputed state bonds. Pennsylvania also sold its stocks in canals, railroads, turnpikes, and banks, recovering one-third of what those investments had cost.

Maryland offered to satisfy bondholders by giving them the state's interest in canals and railroads, but the bondholders refused. However, the very fact that Maryland was prepared to divest its holdings showed that the rage for state-supported enterprises was fading. In 1851, Maryland's constitution was revised to prohibit state involvement "in the construction of works of internal improvement, or in any enterprise which shall involve the faith or credit of the State." The reformed Maryland constitution also prohibited the borrowing of money unless state legislators authorized new taxes that were adequate to repay the debt. Five other defaulting states also adopted new constitutional debt limitations. Indiana, with the most extreme restriction, proscribed borrowing entirely except in case of war. The other state constitutions imposed a dollar limit on debt, established special procedures

to approve borrowing, and often⁹ banned state guarantees for debt issued by private corporations.

It was not just the defaulting states that adopted such restrictions. Eight other states that had been part of the Union at the onset of the economic crisis adopted limitations on borrowing, and two more came close to adoption. "I wish to see State Government brought back to its simple and appropriate functions," said a delegate to Ohio's constitutional reform convention in June 1850, "to protect the rights of the citizen, without governing too much." Seven of the eight states that joined the Union between 1845 and 1861 had restrictions as well (Florida, an unrepentant repudiator, was the exception). Two of the new states—Oregon and Kansas—prohibited state involvement in internal improvements entirely, just as Maryland had. By the eve of the Civil War, popular understandings about the role of state government had undergone a radical shift. The economic crisis put an end to the internal improvements movement and produced a new set of limitations that "made *laissez-faire* the law of the land."

What induced state legislatures to make such fundamental changes? Aggrieved lenders sometimes can go to court to force borrowers to meet their obligations; however, this option was not available to lenders who held the bonds of American state governments. They were blocked by the doctrine of sovereign immunity: the principle, as Chief Justice Roger Taney later explained, that a sovereign government "cannot be sued in its own courts . . . without its consent or permission."

Daniel Webster had warned the Barings Bank in 1839 that it was usually impossible to go to state courts to force payment on bonds. Only two states—Mississippi and Arkansas—actually permitted suits in state courts against the government, and even in these states the remedy was limited. In Mississippi, judges were popularly elected and seemed unlikely to be friendly to creditors, while in Arkansas a case could be initiated only if bondholders put their bonds in the custody of state officials, which no bondholder was prepared to do.

The situation seemed to be a little better under federal law. Article III of the U.S. Constitution purported to give federal courts the jurisdiction to hear cases involving disputes "between a state and citizens of another state" and also "between a state . . . and foreign states, citizens, or subjects." However, the Eleventh Amendment of the Constitution prohibited federal courts from hearing cases against states that were brought by "citizens of another state, or by citizens or subjects of any foreign state." The two constitutional provisions were obviously contradictory. As Chief Justice John Marshall

explained in an 1821 Supreme Court case, this was largely because state governments, heavily indebted after the Revolutionary War, had reacted fiercely when creditors began turning to federal courts after the adoption of the Constitution in 1787. The very purpose of the Eleventh Amendment, ratified in 1795, was to block lawsuits against states by debt holders in federal courts.

In July 1843, Nicholas Biddle, by now separated from the defunct Bank of the United States, publicly suggested a way by which investors might get around the doctrine of sovereign immunity, which relied on a crucial distinction in wording between Article III and the Eleventh Amendment. Article III acknowledged that federal courts could hear disputes between two states or between a U.S. and foreign state, while the Eleventh Amendment only precluded suits brought by *citizens* of other states or foreign states. It would be possible, Biddle said, for another government to acquire bonds from its citizens and then pursue a case in U.S. federal courts on their behalf. If the bondholding government won its case, federal authorities would be compelled to take action to enforce the judgment against the defaulting state by seizing and selling state property. Biddle argued that there was precedent for such federal intrusion: in 1794, President Washington had sent an armed force of thirteen thousand men into Pennsylvania to enforce the collection of federal taxes.

Biddle's plan was never executed. Among bondholders he had little credibility. As the *Times of London* said, he was "notorious for his management of a concern which ruined nearly everybody who came in contact with it." Whether federal judges would have tolerated the argument is also in doubt. As Chief Justice Marshall said in 1821, the Eleventh Amendment did not explicitly preclude suits between governments because "there was not much reason to fear that foreign or sister States would be creditors to any considerable amount." Furthermore, federal courts might have regarded Biddle's plan as a connivance which defeated the purpose of the Eleventh Amendment, and they might have balked at the prospect of rendering a judgment that could require the deployment of a mass of federal troops to enforce it.

There was a final complication with Biddle's scheme: the British government would not intercede on the bondholders' behalf. In 1841, the House of Rothschild asked the British Foreign Secretary, Lord Palmerston, for help in its dispute with the state of Mississippi. Palmerston refused, saying that British subjects who buy foreign securities "do so at their own risk and must abide the consequences." Palmerston's successor, Lord Aberdeen, was equally recalcitrant, telling investors in March 1843 that the British government had "no concern with the securities in question and no power to compel payment

of the sums required." It was government policy, Aberdeen later explained, "to abstain from taking up as international questions the complaints made by British subjects against foreign governments which have failed to make good their engagements."

Embassies, like courts, provided little relief to angry creditors. American diplomats were sympathetic but unhelpful. The reality was that the Tyler administration did not regard the defaults as a responsibility of the federal government. This was made clear when a group of nine hundred investors petitioned Edward Everett, the U.S. minister in London, in February 1843. "By far the larger portion of us are persons in the middle ranks of life," the petitioners said, "officers on half-pay, superannuated clerks, retired tradesmen living on small means, aged spinsters, widows and orphans." They wanted only "simple justice," and asked Everett to put their petition before President Tyler and the U.S. Congress. Everett believed that the states were bound as a matter of honor to pay their debts, but said that he had no authority to convey the petition in his official capacity. "The general government is not a party in the contracts of the separate states," Everett said. "The subject of the memorial does not fall directly within the president's province."

A group of sixty Dutch investors petitioned Christopher Hughes, the American chargé d'affaires in The Hague, three months later. Among them was Adriaan van der Hoop, head of the powerful merchant bank Hope and Company, which had helped to finance the Louisiana Purchase forty years earlier. Hughes "received the deputation with the greatest politeness . . . [and] said pretty explicitly that he was himself convinced of the justice of the complaints contained in the petition." Even so, Dutch investors were rebuffed even more firmly than their British counterparts. Hughes was instructed by the State Department to tell the bondholders "in the most formal and explicit terms, as the clear and unalterable determination of the general government, that it will not consent to be held, in any wise, or to any extent, responsible for any default, actual or eventual."

Lacking recourse to courts or the help of federal authorities, foreign lenders were driven to campaign for repayment directly in state capitals. "The sole resort," a Boston lawyer advised investors in 1842, "is a supplication to their justice or an appeal to their fears." Overseas bondholders were not alone; there were also domestic bondholders, and many American businessmen, who shared a desire to reverse policy in the defaulting states. But a remarkable feature of the campaign against default is the extent to which it was shaped and financed by foreign investors. Default impelled them to become active participants in domestic American politics.

In Pennsylvania and Maryland, the bondholders' campaign was led by

Thomas Ward, Barings' agent in the United States, and financed by a common fund established by many of the major London banks. Ward and his deputies negotiated directly with state legislators and paid thousands of dollars in campaign contributions and gifts to friendly politicians. Ward's principals in London professed "instinctive horror" of some tactics used in the two states and reminded Ward that the London banks could not be seen interfering openly in state politics. Ward promised discretion. But he also reminded London of the "humiliating fact" that American politicians sometimes "must be bought and paid for even in the highest of causes."

The bondholders' campaign extended beyond the statehouse. A Barings historian says that Ward also launched "what might be termed a campaign of propaganda." Prominent authors were recruited to write anonymous articles in favor of repayment and newspaper editors were paid to publish them. One contributor was the writer Alexander Everett, brother of the U.S. minister in London; another was Benjamin Curtis, a Boston attorney who was appointed to the Supreme Court in 1851. "We wrote Maryland right," said John Latrobe, a Baltimore lawyer hired to oversee the bondholders' efforts in that state. The rhetoric was high-flown. The choice confronting citizens of defaulting states, Curtis said, was one between honor and disgrace.

Ward even enlisted clergymen to make the bondholders' case. One ally was Francis Wayland, a Baptist pastor and president of Brown University, and a leading economist of the antebellum period. Wayland blended prudential and moral arguments. His 1841 textbook on political economy warned that governments which lost market confidence could borrow only at "a ruinous premium" if at all. From the pulpit, Wayland declaimed that each citizen of a defaulting state would be marked with the "stain of dishonesty" unless he had done all he could to "reassure the world that the national honor is inviolate."

In Michigan, the spokesman for the major London banks was Charles Butler, a New York lawyer with good connections to businessmen in the northwest. Butler arrived in Detroit in January 1843 and immediately began two months of close negotiations with the governor and legislators. "Very, very busy days," Butler wrote to his wife. "It is a regular lobbying campaign." Butler reprised his role as mediator in Indianapolis in the winter of 1845, where he was

incessantly engaged, night and day, and hardly find time to eat or sleep. . . . I cannot give you any ideas of my labor here. They are greater than anything I have ever before undertook and more various. I have

to talk with and see the members, have to take care of the printers, . . . attend on committees, keep in with the Whigs and Democrats, counsel and advise both parties, and be all things, to all men. Above all, I have to keep my temper, which is the hardest work of all.

A devout Christian, Butler anguished about lobbying on Sundays, because "repudiation and Sabbath breaking ought to go together as national sins." Faith tinged Butler's entire approach to mediation. He eschewed some tactics used by Ward in the eastern states and even avoided direct appeals to the state's material interests. He conceded that some politicians would be brought to the negotiating table because the Michigan economy would wither without access to capital. However, Butler relied mainly on the "paramount moral obligation involved . . . if the moral feeling be only rightly stimulated, the pecuniary relief will soon and cheerfully follow. It is not the mere question of dollars and cents." Butler was helped by a young Indianapolis preacher, Henry Ward Beecher, who warned parishioners against the vice of default: "When a whole people, united by a common disregard of justice, conspire to defraud public creditors, and States vie with States in an infamous repudiation of just debts . . . then the confusion of domestic affairs has bred a fiend, before whose flight honor fades away. . . . Need we ask the causes of growing dishonesty among the young, and the increasing trustworthiness of all agents, when States are seen clothed with the panoply of dishonesty?"

The bondholders' agents were exhausted by their experience in negotiating with defaulting governments. In correspondence, they affirmed the dismal view of democratic politics already prevalent in the financial houses of London. In Michigan, Butler found the legislature "an impulsive body . . . [with] queer notions of matters of things. . . . It is *all* a lottery." Indiana was no better, with "heartless, unprincipled politicians" determined to bury great matters of state in "the most trifling local politics." The bondholders' agents in Illinois were even more severe. "You are little aware of the corrupt morals of the low, stealthy, base intriguing politician of the west," they wrote to London in 1845. "The demagogues . . . are numerous; and like the carrion crow set watching for a dead carcass. You must expect from them every species of intrigue, falsehood, and baseness." Another letter to Barings Bank explained:

Among public men the great art seems to be to learn what means may be most effectually employed to sway the public mind and gain over it the ascendancy which will produce favorable results at the polls. Falsehood, misrepresentation, erroneous reasoning and all such appliances

designed to rule public opinion have in such a country a greater chance of success than in most places because of the thousand obstacles in the way of pursuing and correcting what is false and erroneous.

These grim appraisals were probably premature. Even as they were written, many state governments were reluctantly preparing to levy new taxes and recognize outstanding debts. Moreover, the nation was on the cusp of a remarkable shift in elite and mass opinion about the role of state governments. This was evidenced in the debates within the constitutional conventions that produced such a wave of restrictions on state power between 1846 and the onset of the Civil War.

Only a decade earlier, most Americans had shared the Jacksonian belief in the capacity of democratic polities to govern themselves well. "We have an abiding faith in the virtue, intelligence, and full capacity for self-government, of the great mass of the people," stated the *Democratic Review* in 1838. "We are opposed to all self-styled 'wholesome restraints' on the free action of the popular opinion and will." The drive within constitutional conventions to establish limits on borrowing and state involvement in internal improvements was widely and accurately understood as a challenge to this belief. In Indiana, a critic of restriction complained that it was "palpably subversive of the self-evident principle that the will of the majority must govern." A Kentucky delegate protested that his state convention was posed to undermine "the great representative principle in our system of government." "The people are the source of power," said an Iowa delegate, "[i]f the people send foolish men here to represent them and make laws for them, who will spend their money for them unnecessarily, it is their business, not ours. We are not sent here to guard and watch the people, and place a check upon them and prevent them from acting for their own good."

By the end of the 1840s, this had become a minority view. The overwhelming weight of opinion ran in favor of constraining popular sovereignty. Within constitutional conventions, the very idea that state action could bring prosperity was now widely disparaged. "Every man dreamed that he was about to reach a new *El Dorado*," recalled a Maryland delegate in 1851. "These works were to bring upon us a flood tide of prosperity and advancement, which was to know no ebb." An Iowa delegate also remembered "these dreams of wealth, this Utopian doctrine, that we can legislate and vote ourselves rich." But these dreams had, in most cases, yielded nothing but half-completed projects and crushing taxation. "De Witt Clinton has been overrated," said an Ohio reformer in 1851, remembering the New York governor who championed the Erie Canal, the model for so many

other improvement schemes. "There was the choice of two modes of improving the country, and De Witt Clinton chose the worst, and mankind are prone, in many cases, to follow example without inquiry or investigation."

The crisis had shaken the public's confidence in the capacity of state legislatures to make sound policy. In addition, there was now a widespread tendency to portray the legislative process itself as tainted by self-interest and corruption. In a sense, this unburdened voters themselves of responsibility. "It was not the people who committed the blunder, but the Legislature, and the Legislature was governed by a system of log-rolling," an Indiana delegate said in 1851. Improvement laws like Indiana's Mammoth bill of 1836 were routinely condemned as the products of "bargain and intrigue, of log-rolling and corruption." A New Yorker dismissed his own state's improvement plans as "a union of selfish purposes and improper objects." Legislators had connived so that all would receive some benefit for their own constituents, and then used their "seducing wiles" to persuade the public at large that the works would finance themselves.

Other reformers doubted that voters could be exculpated so easily. "The people called and demanded," said another New Yorker, "and the legislature yielded and obeyed." A former Kentucky legislator recalled that he had attempted to argue against a substantial improvement program, but "such was its popularity that the people were almost ready to hiss me from the lobby." A delegate to Michigan's 1851 convention said that "public sentiment demanded" the state's ill-fated five million dollar loan, "and the Executive and the Legislature had not courage to resist. It was what had grown up as public opinion, which in a few months would have been discarded."

A new sensibility about the irrationality of public opinion pervaded the conventions. Another former Kentucky legislator remembered that the country had been "inflamed with the internal improvement fever." The state's populace, agreed one of his colleagues, "were swept along with the current." Voters had been "tempted into flattering speculations," said a Maryland delegate, and then had turned wholesale against them. Public sentiment was volatile and could turn again: "Have we learned no lessons on that point?"

Arguments about the inviolability of popular sovereignty were invariably countered by a pragmatic appeal to the hard lessons of the economic crisis. Constitutional restrictions might be "shackles upon the power of the legislature," a Kentucky delegate conceded, but they were demanded by experience. Critics of Ohio's restriction tried to stigmatize it as an "iron rule." "I care not what you call it," responded another Ohioan. "If its insertion will promote the prosperity and happiness of the people of Ohio, I will vote for

it." Constitutional restrictions were "the sheet anchor of the security of our State," agreed an Iowa delegate, "and we ought to cling to it."

"Self-government is no longer a theory, it has been demonstrated," said John Pettit, an Indiana delegate who had served in both the state and federal legislatures. And time had shown its frailties: "We have not that perfect confidence in ourselves . . . and we take our cool and calm moments to bind and restrict ourselves—to protect ourselves against the sudden and dangerous impulses of passion and prejudice. . . . It is to prevent the evils resulting from excitement and passion, that we take our calmer and quieter hours to bind ourselves and our fellow man."

Many states had, indeed, bound themselves in the years following the crisis. This was manifest in constitutional reforms and new tax policies, but a more important alteration, which both caused these changes and made them durable, could be seen in political culture. Humiliated by the experience of default or near-default, pressed by angry lenders, and oppressed by new taxes, states had abandoned the internal improvements movement. They had replaced their sunny views about popular sovereignty with a darker conception of the rationality of political processes. The economic crisis seemed to have taught them a lesson: that liberty without discipline was a formula for ruin.